

opened its doors with 240 confused employees transferred from another agency. As these employees settled into their temporary basement offices, \$572 billion worth of futures were traded that they were supposed to regulate. They had to decide how to license 22,000 brokers, trading advisors, commodity-pool operators, and floor traders. They had to find an economic purpose for dozens of new futures contracts.

Meanwhile, they had to do something about Jack Savage. Mr. Savage, of Chicago, was the first person deemed unfit to sell commodities futures, due to an earlier criminal conviction for mail fraud and a permanent injunction that barred him from selling stocks and bonds. Mr. Savage was one example of the attraction of commodities for what CFTC Chairman William Bagley called "some of the worst lie-by-day and fly-by-night operations in the financial world."

In May 1976, soon after the agency settled into its basement, it faced a potato crisis. The New York Mercantile Exchange, an East Coast version of the exchanges I've described, notified the government of a default in the Maine potato contract. Apparently there weren't enough theoretical potatoes to cover the theoretical potato delivery. To attack this problem, the CFTC turned to its staff attorneys, investigators, and economists. How attorneys, investigators, and economists came up with the extra potatoes I'm not sure, but the crisis was resolved to everyone's satisfaction, at least until the following year, when there was a second theoretical potato failure.

After issuing 170 subpoenas and questioning 200 people about the potato shortfall, the CFTC took legal action against nine short traders, five long traders, and the potato exchange itself. Then its attention was diverted to coffee. Two coffee traders held 82 percent of the long positions, and there wasn't enough theoretical coffee in all the world to cover their September 1976 "C" (for coffee) contracts. Physical coffee drinkers could switch to physical tea in a physical shortage, but in futures there was no such recourse. Later, the frosts in Brazil, floods in Colombia, an earthquake in Guatemala, and the civil war in Angola all conspired against the coffee contracts, so there were three more theoretical coffee failures in 1977.